complaint

Mr A and Ms B have complained about the decision of Lloyds Bank General Insurance Limited ("Lloyds Bank") to avoid their home insurance policy after they made a claim for flood damage.

background

Mr A and Ms B commenced the insurance policy in 2010 following a meeting between Ms B and a Lloyds Bank representative in a bank branch. In 2012, they contacted Lloyds Bank to make a claim for flood damage. During the call when the claim was notified, Mr A and Ms B explained that they had in the past been declined insurance cover due to an earlier flood claim.

The policy application records held by Lloyds Bank did not show any previous flood claims made by Mr A and Ms B, or that Mr A and Ms B had ever been refused insurance cover.

Mr A and Ms B state that both of these facts were disclosed by Ms B to the representative that she met in 2010 when cover commenced. However, Lloyds Bank considered that these facts had not been disclosed to it when the policy was arranged, and highlighted that documentation sent to Mr A and Ms B when cover commenced also confirmed this.

Lloyds Bank stated that if these facts had been disclosed, it would not have offered cover to Mr A and Ms B. Consequently it avoided the policy from commencement and declined to cover the flood claim.

Dissatisfied with Lloyds Bank's stance, Mr A and Ms B brought a complaint to this service.

Our adjudicator upheld this complaint. His view was that Mr A and Ms B had disclosed flood claims previously to insurers, bearing in mind that this was why they were then refused cover by those insurers. The evidence also indicated that Lloyds Bank itself had previously refused cover after flood claims had been disclosed to it. In light of Mr A and Ms B's previous disclosure of flood claims to other insurers, the adjudicator considered it more likely than not that Ms B had also disclosed these material facts to Lloyds Bank in 2010.

The adjudicator also noted that the documentation sent to Mr A and Ms B in 2010 when the policy had been arranged recorded that they had held home insurance for six years without making a claim. As this was consistent with the time that had elapsed since their previous flood claim in 2004, the adjudicator concluded it was likely that this flood claim had been disclosed in 2010.

In upholding the complaint, the adjudicator proposed that Lloyds Bank should reinstate the policy and reconsider the claim, removing records regarding the policy voidance from internal and external databases. He also recommended that Lloyds Bank should pay Mr A and Ms B £200 compensation to reflect distress and inconvenience caused to them as a result of the policy voidance, and reimburse them any additional premium they had incurred obtaining cover due to declaring the policy voidance.

Lloyds Bank did not accept the adjudicator's findings. It maintained its view that during the 2010 branch meeting, Ms B did not disclose previous flood claims or being refused insurance cover. It stated that if she had, the representative would have been unable to provide an insurance quotation to her. Lloyds Bank commented that the representative in this case was a branch manager, and that it had no reason to doubt that the answers shown on the application form accurately represented what Ms B had told the representative.

During its investigations following the 2012 claim, Mr A and Ms B had told Lloyds Bank that their home had also been flooded in 2011. Although this was after Lloyds Bank had started to provide cover to Mr A and Ms B, they had neither made a claim in 2011 nor disclosed the 2011 incident when cover was renewed in 2012. It is Lloyds Bank's view that because the renewal documentation sent in 2012 asked Mr A and Ms B to confirm if their circumstances had changed, they should have disclosed the 2011 flood incident at this time.

In terms of the adjudicator's suggestion that the record on the 2010 documentation showing that Mr A and Ms B had been claims free for six years indicated that the 2004 flood claim had been disclosed, Lloyds Bank explained how its no claims discount ("NCD") operates. It stated that the maximum NCD available was for policyholders who had been claims free for more than six years.

As such, Lloyds Bank suggested that the information on the documents showing that home insurance had been held for six years without making a claim did not demonstrate that the 2004 flood claim had been disclosed. Instead, it stated that six years only appeared on the documents because it denoted that Mr A and Ms B were eligible for a maximum NCD allowance, based on the claims information they had provided.

my findings

I have considered all the available evidence and arguments to decide what is fair and reasonable in the circumstances of this complaint.

Lloyds Bank has stated that it would not have offered cover to Mr A and Ms B in 2010 if it had been informed that they had made previous flood claims, or had had insurance cover refused. The underwriting evidence forwarded by Lloyds Bank indicates this to be the case.

However, Mr A and Ms B state that Ms B did disclose these facts to the representative during the 2010 branch meeting. Lloyds Bank disputes this. I therefore need to determine what I consider it is more likely was disclosed by Ms B during this meeting.

There is limited evidence available regarding the discussions that took place between Ms B and the representative in their 2010 branch meeting. Clearly, I cannot be certain what was discussed at this time, and so must base my assessment on the balance of probabilities.

As part of its investigation of this complaint, Lloyds Bank contacted its branch where the policy was arranged and spoke to the manager of the representative in order to establish the sales process that was followed in 2010. I have noted Lloyds Bank's comments that the representative was herself a branch manager. It has also stated that it has no reason to doubt that the answers shown on the insurance application form regarding previous flood claims and being refused insurance accurately reflected the information that Ms B gave the representative. Lloyds Bank has explained that it has no concerns about the representative's competency to sell home insurance, or to ensure that all questions it would require a representative to ask a customer when arranging a policy would have been asked.

However, I have also considered the description of the branch meeting that Ms B has provided, and the events that had occurred relating to Mr A and Ms B's insurance cover prior to this meeting. Mr A and Ms B have explained that following their 2004 flood claim, the intermediary who arranged insurance for them stated that either future cover would exclude flood claims, or premiums would be much higher. Mr A and Ms B state that at this time they approached a number of insurers including Lloyds Bank, but were refused cover due to their flood claims history.

The instances when Mr A and Ms B were refused cover were therefore the result of them disclosing their previous flood claims. In my view, on balance this evidences that it was their standard practice to disclose their flood claims when applying for insurance. Bearing this in mind, it seems to me more likely than not that when applying for insurance with Lloyds Bank in 2010, Mr A and Ms B would have again disclosed their flood claims, as they had done previously.

Ms B states that she did disclose her flood claims to the representative in 2010. She also contends that she told the representative that she and Mr A had been refused cover before.

Ms B states that at this time, she visited the branch about a matter unrelated to insurance, but that whilst there was asked by a member of staff whether she would be interested in discussing her home insurance arrangements.

Ms B has provided a detailed description of her meeting with the representative in 2010. Overall, I am persuaded by the accuracy of Ms B's account of this meeting. On the basis that Ms B had not visited the branch in order to obtain home insurance cover, but was there to discuss a separate matter, there seems to be insufficient reason why Ms B would not disclose flood claims and refused insurance applications when approached by the representative to discuss her home insurance arrangements.

The documentation sent to Mr A and Ms B once the policy had been arranged in 2010 detailed that the property had not been damaged previously by flood, and that Mr A and Ms B had not previously been refused home insurance. Mr A and Ms B have explained that they did not read these documents in detail when they arrived. However, my view is that Mr A and Ms B could reasonably believe that the information they had disclosed to the representative would have been recorded by Lloyds Bank and taken into account when cover was offered to them.

The adjudicator highlighted that these documents did record that Mr A and Ms B had held home insurance for six years without making a claim. In his view, bearing in mind that the insurance application was made in 2010 and a previous flood claim had been made in 2004, this provided further evidence that Mr A and Ms B had disclosed the flood claim to the representative.

Lloyds Bank has evidenced that the highest NCD entitlement that was available under the policy was for applicants who had not made a claim for more than six years. It has stated that this is why the documents showed a figure of six years without Mr A and Ms B having made a claim.

From Lloyds Bank's comments, my understanding is that it is saying that even if an applicant had not made a claim for 15 years, the post sale documents would record that the applicant had not made a claim for six years, because this information is only relevant to the setting of NCD entitlement. Whilst I note what Lloyds Bank has stated, it is the case that disclosing a 2004 claim in an application made in 2010 would mean that Mr A and Ms B had not made a claim for six years.

This is the information that was recorded on the post sale documentation regarding the period of time that had elapsed between the policy application and the last time that a claim had been made by Mr A and Ms B. In my view it provides some additional support to the contention that Mr A and Ms B did indeed inform the representative about their flood claim in 2004.

Lloyds Bank has highlighted that Mr A and Ms B suffered flooding in 2011, after it had started to provide cover, but that this incident was not disclosed to it when cover was next renewed in 2012. Lloyds Bank's internal records detail the conversation it had with Mr A regarding the 2011 incident after he had made the 2012 claim. These confirm that after the 2011 flooding occurred, the local council accepted liability for it on the basis that there had been a lack of maintenance to the roads.

My understanding is that based on the council's admission of liability, Mr A and Ms B chose not to make a claim under their policy for the 2011 flood. Lloyds Bank has stated that the incident should have been disclosed when cover was renewed in 2012, taking into account that the renewal documentation asked Mr A and Ms B if their circumstances had changed.

However, it does not seem to me that being asked whether their circumstances had changed would necessarily lead Mr A and Ms B to conclude that this required them to disclose a flooding incident that they had chosen not to make a claim for. Consequently, my view is that Mr A and Ms B did not act unreasonably when they did not report this incident at the time cover was renewed in 2012.

In conclusion, my view on balance is that Mr A and Ms B did disclose their previous flood claims and refused insurance cover when applying for home insurance with Lloyds Bank in 2010. I therefore consider that Lloyds Bank acted unreasonably when avoiding the policy for non-disclosure of these facts, and that it should now reinstate the policy and reconsider the flood claim made in 2012.

My view is that the avoidance of the policy did cause Mr A and Ms B unnecessary distress and inconvenience. Bearing in mind that awards made under this heading by this service are in general modest, I consider a compensation payment of £200 to be appropriate.

I would also agree with the adjudicator's proposal that if Mr A and Ms B have had to pay increased premiums when obtaining replacement cover due to the Lloyds Bank policy having been avoided, Lloyds Bank should compensate them for this. I note that Mr A and Ms B have stated that they are now paying higher premiums than they were previously, and have a higher policy excess for flood claims. It seems likely to me that, at least in respect of the flood excess, Mr A and Ms B's new policy is a reflection of their flood claim record. I should therefore clarify that Lloyds Bank would only be required to compensate for any increased premium that is related solely to its voidance of the policy.

my final decision

My final decision is that I uphold this complaint, and require Lloyds Bank General Insurance Limited to carry out the following actions:-

- Reinstate the policy subject to the premiums being paid, and reconsider the 2012 flood claim;

- Ensure that records relating to the policy being voided are removed from internal and external databases;

- Pay Mr A and Ms B £200 to reflect distress and inconvenience caused to them;

- If Mr A and Ms B have had to pay increased premiums due to the policy voidance, Lloyds Bank General Insurance Limited should reimburse them for the additional premium amount that relates to the policy voidance. To any sum due should be added simple interest at 8% per annum (less tax if properly deductible) from the date each additional premium amount was paid to the date of settlement.

John Swain
ombudsman